

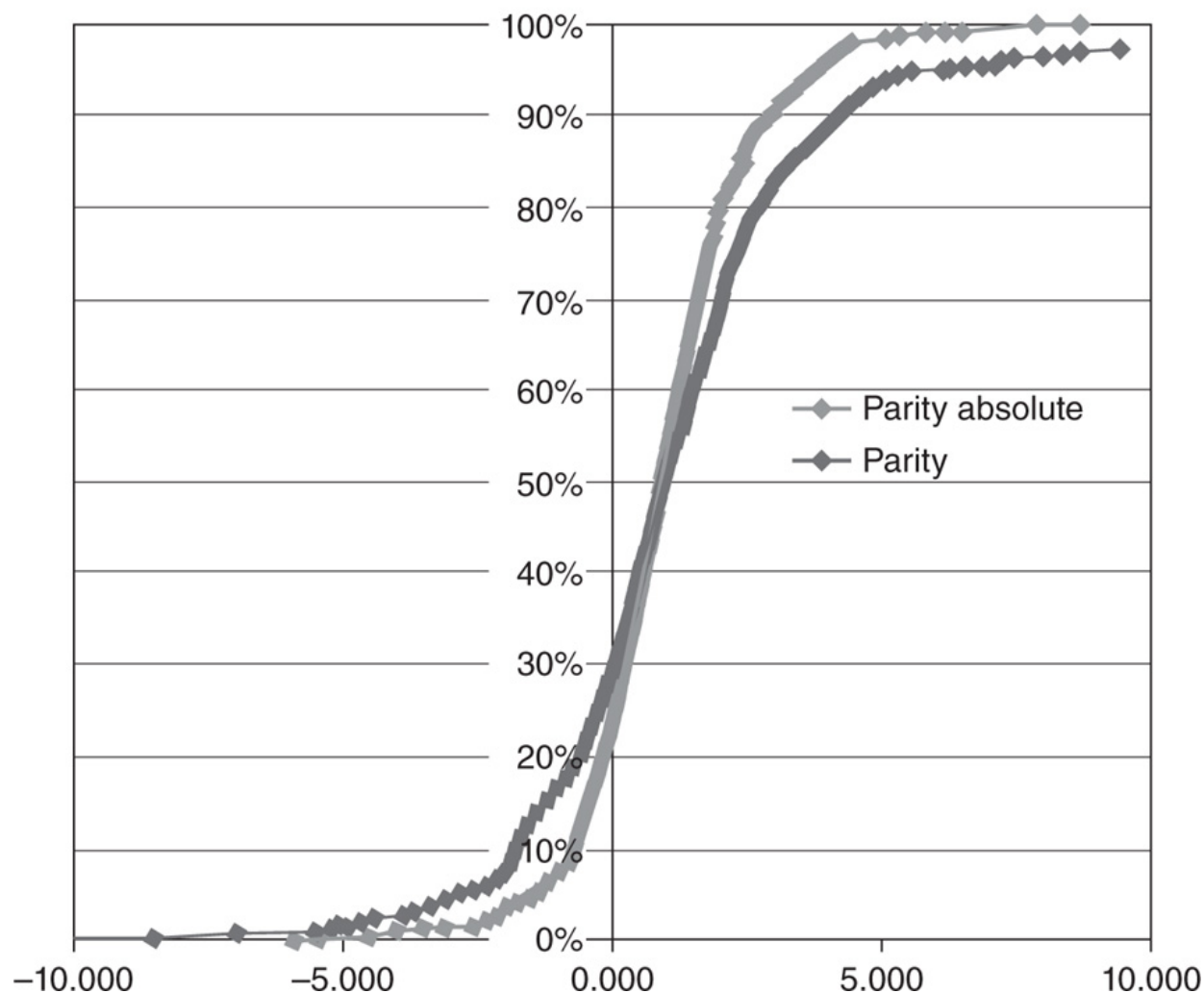


Figure B.23 Cumulative Distribution Functions, 1974–2012

The parity portfolio with 12-month absolute momentum shows a lower probability of loss and a greater probability of gain than the parity portfolio without momentum. Because the mean of the parity portfolio with 12-month absolute momentum is also higher than the mean of the parity portfolio without absolute momentum, a risk-averse investor would always prefer the parity portfolio with 12-month absolute momentum, due to second-order stochastic dominance.

LEVERAGE